VectorQuay
INDIGO SIGNAL

RESEARCH FINDINGS

Phase 0 Findings

Source-backed feasibility findings for Coinbase spot trading under the approved Phase 0 scope.

VERSION	STATUS
v1.0	**In Progress**
OWNER	THEME
Brad Malia	**Indigo Signal**

Purpose

This document records Phase 0 research in the required format: question, conclusion, source, confidence, impact on v1, and unresolved assumptions.

Current Focus

Initial Coinbase spot feasibility for approximately $50 capital, approved quote-currency policy, and the economic question that now matters most: whether production-account fee burden leaves enough room for meaningful net growth.

Research Findings

F-001: Which Coinbase API product should VectorQuay target for v1 spot trading?

Question: Which Coinbase API surface is the correct primary target for automated Coinbase spot trading in v1?

Conclusion: VectorQuay v1 should target the Coinbase Advanced Trade API as the primary Coinbase trading interface.

Source: Coinbase states that “The Coinbase Advanced API lets you manage orders, products, and fees with our new v3 endpoints” and “supports advanced trading features only.” Source: What is Coinbase Advanced?

Confidence: High.

Impact on v1: API design, account integration assumptions, and later implementation planning should standardize around Advanced Trade, not older Coinbase retail API patterns.

Unresolved assumptions: Need to confirm any account-specific restrictions relevant to the intended account and region.

F-002: Are spot-oriented order types available through the target API?

Question: Does the target Coinbase API support the order types needed for a v1 spot-only product?

Conclusion: Coinbase Advanced Trade documentation shows support for spot-relevant order configurations including market, limit, stop-limit, and fill-or-kill style order structures. For v1, VectorQuay should likely constrain itself to a simpler subset such as market IOC and limit GTC/GTD until feasibility and risk findings justify more complexity.

Source: Coinbase Advanced order documentation lists `market_market_ioc`, `limit_limit_gtc`, `limit_limit_gtd`, `stop_limit_stop_limit_gtc`, `stop_limit_stop_limit_gtd`, and `limit_limit_fok`. Source: Advanced API Order Management

Confidence: High.

Impact on v1: The platform can likely support a basic spot execution path without needing complex order behavior on day one.

Unresolved assumptions: Need confirmation of which order subset best fits the low-capital v1 strategy and whether account/product conditions restrict availability.

F-003: Does the target API align with the approved trade-only account policy?

Question: Does Coinbase Advanced Trade API scope align with the approved v1 policy that the bot should trade only and should not automate deposits or withdrawals?

Conclusion: Yes, current Coinbase help documentation explicitly states that the Advanced API “does not duplicate core Coinbase functions for account deposits, withdrawals, and transactions” and “supports advanced trading features only.”

Source: What is Coinbase Advanced?

Confidence: High.

Impact on v1: This strengthens the architectural fit between the approved trade-only policy and the chosen Coinbase API surface.

Unresolved assumptions: We still need to ensure no implementation path accidentally mixes other Coinbase account features into the product scope.

F-004: Does Coinbase product metadata expose the fields needed to evaluate low-capital viability?

Question: Can VectorQuay retrieve enough product metadata to evaluate minimum sizes, increments, and quote-currency precision for v1 feasibility?

Conclusion: Yes. Coinbase Advanced Trade product endpoints document fields including `base_increment`, `quote_increment`, `quote_min_size`, `quote_max_size`, `base_min_size`, and `base_max_size`, which are directly relevant to low-capital viability analysis.

Source: Get Product and Get Public Product

Confidence: High.

Impact on v1: Phase 0 can evaluate whether specific products are technically tradeable under the approved USD/USDC quote policy and the approximately $50 starting-capital constraint.

Unresolved assumptions: We still need to inspect actual target products and not rely only on schema examples.

F-005: Can Phase 0 measure spread and market quality with official Coinbase data?

Question: Does Coinbase expose official order-book or ticker data sufficient to evaluate spread and market quality for the initial tradable universe?

Conclusion: Yes. Coinbase Advanced Trade public market endpoints expose best bid/ask, mid-market, spread in basis points, spread absolute values, and recent trade/ticker data, which is sufficient for Phase 0 to define spread-based viability rules.

Source: Get Public Product Book and Get Public Market Trades

Confidence: High.

Impact on v1: Phase 0 can define candidate-asset filters using official spread and market-quality data rather than relying on intuition or external data sources.

Unresolved assumptions: We still need to decide actual numeric spread thresholds appropriate for a low-capital v1 strategy.

F-006: Do current Coinbase fee rules increase risk for a low-capital strategy?

Question: Do current Coinbase Advanced fee rules create a meaningful Phase 0 risk for a strategy starting with approximately $50?

Conclusion: Yes. Coinbase Advanced uses a maker/taker fee model, fees vary by fee tier, and tiers depend on trailing USD trading volume. For a low-capital v1 product, fee drag is a first-order risk because frequent taker-style trading can materially reduce net growth at small account size.

Source: Coinbase Advanced fees

Confidence: High.

Impact on v1: VectorQuay should treat fee drag as a primary feasibility constraint. The platform should not assume that high-frequency trading is economically viable at approximately $50 simply because the API supports it.

Unresolved assumptions: We still need account-specific fee-tier visibility or operator confirmation to model the likely effective fee burden more precisely.

F-011: What does authenticated transaction-summary data show for a low-volume research account?

Question: What does live authenticated Coinbase transaction-summary data reveal about fee burden on the temporary research account?

Conclusion: The temporary read-only research account currently reports fee tier `Intro 1` with `taker_fee_rate = 0.012` and `maker_fee_rate = 0.006`. This means a low-volume account may face 1.2% taker fees and 0.6% maker fees before spread is considered.

Source: Authenticated read-only response from `/api/v3/brokerage/transaction_summary` on 2026-04-12 using the temporary research account.

Confidence: High for the research account; medium for production-account applicability.

Impact on v1: This materially strengthens the conclusion that approximately $50 is a fragile operating point and that taker-heavy or high-turnover behavior is likely unattractive unless the production account has significantly better fee conditions.

Unresolved assumptions: We still need to confirm the fee tier on the actual production Coinbase account that VectorQuay will ultimately use.

F-014: What does the actual production account show for fee tier and starting balance?

Question: What does authenticated read-only inspection reveal about the actual Coinbase account intended for VectorQuay?

Conclusion: The actual production account currently reports:

- `pricing_tier = Intro 1`
- `taker_fee_rate = 0.012`

- `maker_fee_rate = 0.006`
- `total_balance = 47.26`
- an ETH wallet and a USD wallet in the observed account set at the time of inspection

This means the production account currently matches the temporary research account on the key fee-risk variable.

Source: Authenticated read-only responses from `/api/v3/brokerage/transaction_summary` and `/api/v3/brokerage/accounts` on 2026-04-12 using the actual production-account read-only key.

Confidence: High.

Impact on v1: This substantially increases confidence in the current low-capital risk conclusion. The production account is not currently in a better fee state than the temporary research account, so the low-volume fee burden is a real production constraint, not just a research-account anomaly.

Unresolved assumptions: Need to confirm whether fee conditions improve later through increased volume or another Coinbase pathway, but the current production baseline is now known.

F-015: What does the actual account state imply for USD versus USDC routing?

Question: Does the actual production account currently favor USD or USDC as the more natural quote-currency default?

Conclusion: The observed production account currently contains an ETH wallet and a USD wallet, but no USDC wallet in the returned account set at the time of inspection. Because USD is already present on the account while USDC is not, USD should be treated as the default initial quote-currency path for first implementation, while USDC remains an approved secondary quote currency if later strategy or account behavior justifies it.

Source: Authenticated read-only response from `/api/v3/brokerage/accounts` on 2026-04-12 using the actual production-account key.

Confidence: High for the observed account state.

Impact on v1: This suggests the earliest implementation and operational model should prefer USD-routed trading flows first, while preserving support for USDC in policy and later design.

Unresolved assumptions: Need confirmation that the account response includes all relevant spot wallets in all states and that no additional funding behavior changes this preference later.

F-008: Does Coinbase public product data provide enough information to build approved and rejected asset lists?

Question: Can Phase 0 use official Coinbase public product data to classify candidate v1 assets under the approved USD/USDC quote-currency policy?

Conclusion: Yes. Coinbase public product listings and public product-detail endpoints expose `product_id`, `quote_currency_id`, `base_currency_id`, `volume_24h`, `base_min_size`, `quote_min_size`, `price_increment`, `mid_market_price`, and tradability-related flags such as `is_disabled`, `cancel_only`, `limit_only`, `post_only`, `trading_disabled`, and `view_only`.

Source: List Public Products and Get Public Product

Confidence: High.

Impact on v1: Phase 0 can build an official-source approved/rejected asset list instead of relying on assumptions or manually curated guesses.

Unresolved assumptions: We still need to choose the actual numeric thresholds that will determine approval or rejection.

F-010: Is product-level Phase 0 screening fully completable from documentation alone?

Question: Can Phase 0 complete real product-level screening from documentation alone, without access to live Coinbase credentials or account context?

Conclusion: Not fully. Coinbase documents the required product and market-data fields, but the current endpoint docs for “public” product and ticker surfaces still show an Authorization header requirement. That means full screening of actual live products may require authenticated access or later live read-only inspection rather than documentation-only review.

Source: List Public Products, Get Public Product, and Get Public Market Trades. Each endpoint definition currently shows an Authorization header in the documentation.

Confidence: Medium to high.

Impact on v1: Phase 0 can complete the framework, criteria, and technical method for candidate screening now, but final product-level approval/rejection of actual live pairs may require read-only authenticated inspection.

Unresolved assumptions: Need later confirmation of whether these endpoints are truly callable without auth in practice or whether authenticated read-only access is required.

F-012: Does authenticated live product inspection support the current liquid-major hypothesis?

Question: What does live authenticated product metadata show for provisional v1 candidates such as BTC-USD, ETH-USD, SOL-USD, and DOGE-USD?

Conclusion: Yes. Authenticated live product inspection currently shows:

- `BTC-USD`, `ETH-USD`, `SOL-USD`, and `DOGE-USD` all report `status = online`, `trading_disabled = false`, and `view_only = false`.
- All four currently report `quote_min_size = 1`, which means they are technically reachable for a small-dollar account.
- BTC, ETH, and SOL continue to fit the strongest candidate class because of their high approximate quote volume and lower strategy-risk profile relative to speculative assets.
- DOGE is technically reachable and active, but it remains strategically weaker than BTC/ETH/SOL because of its speculative nature, not because of obvious product restrictions.

Source: Authenticated read-only responses from `/api/v3/brokerage/products/BTC-USD`, `ETH-USD`, `SOL-USD`, and `DOGE-USD` on 2026-04-12 using the temporary research account.

Confidence: High for those products on the research account.

Impact on v1: The candidate set can now move from general hypothesis to evidence-backed provisional screening. The remaining major unknown is economic attractiveness after fees and spread, not basic tradability.

Unresolved assumptions: We still need the actual production account for final signoff, and we still need better live spread evidence because the attempted best-bid/ask endpoint call was not yet successful.

F-013: What do live spreads look like for the main provisional candidates?

Question: What does authenticated live ticker data show for best bid/ask spread on the current provisional v1 candidates?

Conclusion: Live spread data for the temporary research account shows very tight spreads on the tested liquid candidates:

- `BTC-USD`: spread = `$0.01`, approximately `0.0014 bps`
- `ETH-USD`: spread = `$0.01`, approximately `0.0455 bps`
- `SOL-USD`: spread = `$0.01`, approximately `1.2185 bps`
- `DOGE-USD`: spread = `$0.00001`, approximately `1.0962 bps`

These results indicate that for these liquid candidates, spread is likely much less constraining than the currently observed low-volume fee burden.

Source: Authenticated read-only responses from `/api/v3/brokerage/market/products/{product_id}/ticker` on 2026-04-12 using the temporary research account, with spread calculations derived from returned `best_bid` and `best_ask`.

Confidence: High for the observed moment-in-time data.

Impact on v1: This materially strengthens the case for focusing on fee economics rather than spread economics when judging low-capital viability on highly liquid major pairs.

Unresolved assumptions: Need equivalent live spread checks on the actual production account and on any additional candidate or watchlist assets.

F-009: What is the current research-backed constraint on strategy style at approximately $50?

Question: What does the current research imply about the likely strategy style that remains feasible for a very small starting balance?

Conclusion: The current research suggests that high-turnover or taker-heavy trading is structurally risky at approximately $50 because fee drag and spread

can consume a meaningful share of expected gains. The most plausible v1 path is likely selective, low-turnover spot trading on liquid USD/USDC pairs rather than hyperactive trading.

Source: Synthesized from Coinbase Advanced fee guidance, product metadata availability, and public market quality endpoints.

Confidence: Medium.

Impact on v1: Phase 0 should treat “maximize growth quickly” as compatible with selective opportunity-taking, not with assumed high-frequency behavior.

Unresolved assumptions: This remains provisional until actual candidate products are evaluated under chosen spread and minimum-size thresholds.

F-007: What is the current interim answer to the $50 viability question?

Question: Based on current official-source research, is VectorQuay technically viable on Coinbase spot with approximately $50 starting capital?

Conclusion: The answer is provisionally yes at the API and metadata level, but conditionally weak at the economic level. Coinbase exposes the trading features and product metadata needed to build the product, and the main liquid candidates are technically tradeable, but the actual production account currently confirms a low-volume fee structure that makes approximately $47-$50 a fragile operating point.

Source: Synthesized from current findings F-001 through F-014.

Confidence: High.

Impact on v1: The project should proceed with Phase 0 research, but no conclusion should yet be made that aggressive live trading at approximately $50 is economically justified.

Unresolved assumptions: The main remaining question is no longer technical visibility. It is business judgment about whether the confirmed current fee economics are acceptable for the approved v1 goal.

Interim Assessment

The project is technically viable at the API-surface, metadata, and authenticated-read-only inspection level. For the liquid major pairs tested so far,

spread is not the primary obstacle; fee burden is. The actual production account now confirms the low-volume fee concern directly, so the remaining question is whether those economics are acceptable for the approved business goal at approximately $47-$50.

Open Research Queue

- Estimate whether approximately $47-$50 remains practically tradeable after fees, spreads, and minimum-order constraints for candidate products.
- Confirm practical quote-currency policy for USD and USDC under the intended account setup.
- Confirm any account-specific conditions or regional limitations that could affect the approved scope.
- Extend live spread checks to any additional watchlist or later candidate assets.

First-Pass Screening Framework

SF-001: Proposed v1 Candidate Pair Filter

Question: What first-pass rules should VectorQuay use to approve or reject Coinbase spot pairs for v1 under the current research state?

Conclusion: Until live authenticated screening is available, VectorQuay should use a conservative candidate filter that approves only liquid USD/USDC spot pairs with normal trading status, small minimum-size requirements, and acceptable spread/market-quality metrics.

Source: Synthesized from F-004, F-005, F-006, F-008, and F-010.

Confidence: Medium to high after authenticated product inspection.

Impact on v1: This creates a defensible screening method now, even before final pair-level data is inspected live.

Unresolved assumptions: Numeric thresholds below are provisional and should be validated against live Coinbase product data.

Proposed Approval Conditions

- Quote currency must be `USD` or `USDC`.
- Product type must be spot-oriented and not view-only for the target account.
- Product must not be disabled, trading-disabled, or in an abnormal restricted state.
- `quote_min_size` and `base_min_size` must allow practical trade sizing within a roughly $50 account.
- 24-hour volume must be high enough that the pair is not obviously illiquid relative to v1 capital size.
- Observed spread and/or spread basis points must remain low enough that fee-plus-spread drag does not dominate expected gains.
- Price and quantity increments must support small-capital order sizing without excessive rounding waste.

Provisional Rejection Conditions

- Quote currency is not `USD` or `USDC`.
- Product is disabled, trading-disabled, or not tradeable for the target account.
- Minimum size or increment rules make meaningful position sizing unrealistic at approximately $50.
- Spread appears too wide for a low-capital system that must overcome both spread and fees.
- Volume or market quality appears too weak for disciplined v1 trading.
- Pair complexity or tradability flags indicate unusual handling that would add unnecessary v1 risk.

SF-002: Proposed Initial Asset Bias

Question: What types of assets should be favored in the first live asset-screening pass?

Conclusion: The first pass should strongly favor large, liquid spot assets quoted in USD or USDC and avoid low-liquidity speculative assets until live data proves they satisfy spread, size, and market-quality thresholds.

Source: Synthesized from fee-drag risk, spread-measurement capability, and the approved project risk posture.

Confidence: Medium to high.

Impact on v1: The likely first candidate set should be major liquid assets rather than meme/speculative assets, regardless of narrative upside.

Unresolved assumptions: Exact candidate and rejection lists still require production-account confirmation and any additional watchlist screening.

SF-003: Proposed No-Trade Rule

Question: What should VectorQuay do if no asset passes the final Phase 0 screening rules?

Conclusion: `No trade` must remain a valid and expected system outcome. If no approved asset meets the viability rules, VectorQuay should preserve capital and avoid forced trades.

Source: Consistent with the approved TRD requirement that no-trade is a valid system action.

Confidence: High.

Impact on v1: The product should optimize for valid opportunity selection, not constant activity.

Unresolved assumptions: None at the policy level; only implementation details remain for later phases.

SF-004: Analysis Universe vs Live Trading Universe

Question: How should VectorQuay treat the full Coinbase-listed asset set over time without weakening current v1 controls?

Conclusion: All Coinbase-listed spot assets should be eligible for ongoing analysis and discovery in future phases, but only a dynamically screened subset should be eligible for live trading. New or newly discovered assets should enter a lifecycle such as discovered, observed, watchlist, eligible, active, or blocked rather than becoming immediately tradable.

Source: Product direction approved during Phase 0 collaboration and aligned with current feasibility findings.

Confidence: High.

Impact on v1: The current narrow live universe remains intact, while future platform direction stays broad enough to discover new Coinbase listings and reassess old exclusions automatically.

Unresolved assumptions: The exact lifecycle automation and review cadence belong to later implementation phases.

SF-005: How should blockchain and mempool activity be treated in the future signal stack?

Question: Should VectorQuay implement mempool or MEV-style execution tactics for Coinbase Advanced spot trading, and should blockchain activity still be considered as a future signal source?

Conclusion: VectorQuay should not implement miner or validator fee-bidding, mempool-priority, or other MEV-style execution tactics for Coinbase Advanced spot trading because Coinbase spot uses centralized exchange matching rather than on-chain swap inclusion ordering. However, blockchain activity may still be valuable in future phases as an informational signal source, including exchange

inflow and outflow monitoring, whale-transfer monitoring, unusual wallet activity, and stablecoin flow analysis.

Source: Coinbase Exchange matching-engine documentation and Ethereum gas and fee documentation, interpreted in the context of the approved Coinbase Advanced spot-only scope. Sources: Coinbase Exchange Matching Engine and Ethereum Gas and Fees.

Confidence: High.

Impact on v1: This preserves blockchain intelligence as a tracked future signal-source area so it is not forgotten, while keeping Coinbase spot execution logic aligned with how the exchange actually works.

Unresolved assumptions: Future phases would still need separate research on which blockchain-derived signals are legally, technically, and economically useful enough to justify implementation.

Provisional Asset Hypothesis

AH-001: Likely First-Pass Candidates

Question: Which assets are the strongest provisional candidates for initial v1 screening under the current official-source research?

Conclusion: `BTC-USD`, `ETH-USD`, and likely `SOL-USD` are the strongest initial candidate class for v1 evaluation because Coinbase's own market pages currently show high relative popularity, active trader participation, and very large 24-hour trading volume. These assets fit the current working assumption that v1 should begin with highly liquid USD-quoted spot pairs.

Source: Coinbase asset pages for Bitcoin, Ethereum, and Solana.

Confidence: Medium.

Impact on v1: These assets should be prioritized once live read-only product screening becomes available.

Unresolved assumptions: Final approval still depends on actual product-level metadata, spreads, increments, and account tradability flags.

AH-002: Conditional Watchlist Class

Question: Are any non-core but still liquid assets plausible watchlist candidates rather than immediate rejects?

Conclusion: Assets such as `DOGE-USD` appear better treated as conditional watchlist candidates rather than automatic approvals or automatic rejects. Coinbase currently shows substantial 24-hour trading activity for DOGE, but its speculative and meme-driven character makes it a weaker first-wave candidate than BTC, ETH, or SOL under the current risk posture.

Source: Coinbase asset page for Dogecoin.

Confidence: Medium.

Impact on v1: Conditional assets may be evaluated later if they satisfy live spread, size, and policy thresholds, but they should not anchor the first v1 asset list.

Unresolved assumptions: Need live pair-level screening and a stronger decision on whether speculative assets belong in the first production asset set.

AH-003: Likely Early Reject Categories

Question: What asset categories are most likely to be rejected before detailed live screening?

Conclusion: The current research strongly suggests early rejection of:

- non-USD and non-USDC quoted pairs,
- restricted, disabled, or view-only products,
- thinly traded long-tail assets,
- pairs with wide spreads relative to low account size,
- assets whose minimum-size or increment rules waste too much of a roughly $50 balance.

Source: Synthesized from the approved Phase 0 policy, Coinbase public product schemas, and Coinbase fee/spread research.

Confidence: Medium to high.

Impact on v1: The first live asset list should likely be small, conservative, and heavily biased toward liquid majors.

Unresolved assumptions: Candidate and rejected pair lists still need authenticated live product inspection for final confirmation.

AH-004: First Explicit Classification

Question: Based on current authenticated production-account research, how should the first asset classification be stated?

Conclusion:

- **Approved initial-candidate class:** `BTC-USD`, `ETH-USD`, `SOL-USD`, `BTC-USDC`, `ETH-USDC`, `SOL-USDC`
- **Conditional watchlist class:** `DOGE-USD`, `DOGE-USDC`
- **Default excluded class:** all other assets unless later evidence shows they satisfy the approved quote-currency, market-quality, and low-capital viability rules

Source: Authenticated read-only product inspection on 2026-04-12 using the actual production account key for USD and USDC variants of BTC, ETH, SOL, and DOGE.

Confidence: High for the listed pairs.

Impact on v1: VectorQuay now has an evidence-backed initial candidate set rather than just a conceptual bias toward liquid majors.

Unresolved assumptions: Watchlist assets remain conditional because strategic suitability is weaker even when basic product tradability is acceptable.

Provisional v1 Asset Policy

AP-001: Proposed Initial Asset Policy

Question: Based on current Phase 0 research, what initial asset policy should VectorQuay adopt for v1 before live product inspection is available?

Conclusion: VectorQuay v1 should begin with a deliberately narrow initial asset policy:

- approved quote currencies limited to `USD` and `USDC`, with `USD` treated as the default initial implementation path for the current production account state,
- initial focus on major liquid spot assets,
- default emphasis on approved initial candidates: `BTC-USD`, `ETH-USD`, `SOL-USD`, `BTC-USDC`, `ETH-USDC`, and `SOL-USDC`,
- conditional watchlist treatment for speculative but active assets such as `DOGE-USD` and `DOGE-USDC`,
- default rejection of long-tail, illiquid, or operationally unusual products.

Source: Synthesized from F-004 through F-014 and AH-001 through AH-004.

Confidence: High.

Impact on v1: This gives VectorQuay a conservative initial asset posture consistent with low-capital execution and the approved risk model.

Unresolved assumptions: Final pair approval still requires any additional watchlist screening beyond the approved initial-candidate set, but the major-candidate case is now evidence-backed.

AP-002: Default Exclusion Rule

Conclusion: Any asset should remain excluded from the v1 live list unless it passes all of the following:

- quote-currency policy,
- tradability-state checks,
- minimum-size compatibility,
- increment efficiency,

- spread viability,
- fee-drag plausibility,
- operator policy checks including protected-asset exclusions.

Impact on v1: The live asset list should be opt-in by evidence, not opt-out by exception.

Low-Capital Viability Model

VM-001: Proposed Viability Conditions for Approximately $50

Question: What conditions must be true for VectorQuay to be considered practically viable at approximately $50 starting capital?

Conclusion: A roughly $50 v1 is only practically viable if all of the following remain true for the candidate asset set:

- minimum order sizes do not force trades that consume an unreasonable share of the account,
- price and quantity increments do not create excessive rounding waste,
- spread plus likely fee burden leaves room for net positive expected growth, though current research suggests fees are the dominant factor for liquid majors,
- the strategy trades selectively enough that fee drag does not dominate returns,
- the asset list remains restricted to liquid pairs where market quality is predictably strong.

Source: Synthesized from Coinbase fee guidance, product metadata availability, and spread/market-quality endpoint research.

Confidence: Medium.

Impact on v1: This makes clear that low-capital viability is conditional and narrow, not general-purpose.

Unresolved assumptions: We now have live product-level examples, a research-account fee tier, and live spread evidence for major candidates, but still need the actual production-account fee tier for final confidence.

VM-002: What Would Make Approximately $50 Non-Viable?

Conclusion: The approved v1 model should be treated as economically non-viable at approximately $50 if live research shows one or more of the following:

- candidate products require minimum trade sizes that are too large relative to the account,
- maker/taker fee burden plus spread leaves too little room for net growth,

- approved assets with acceptable quality are too few to support disciplined opportunity selection,
- practical execution would force overconcentration or overtrading.

Impact on v1: If these conditions hold, the correct Phase 0 decision may be to proceed only with a higher capital floor or narrower scope.

VM-003: Current Working Position

Conclusion: The current research does not justify rejecting the product at approximately $50 yet, but it does justify treating approximately $50 as a fragile operating point. The most defensible current position is:

- `technically feasible` at the API and policy level,
- `economically weak at low volume` if fee conditions resemble the temporary research account,
- `likely only viable` with a narrow, liquid, low-turnover asset policy and strong preference for maker-friendly execution where possible.

Confidence: Medium to high.

VM-004: Refined Headline Conclusion

Conclusion: VectorQuay currently appears **technically feasible and operationally coherent**, but **low-capital economic viability remains conditionally acceptable rather than demonstrated**. The strongest current evidence indicates that, for liquid major pairs, fees are the dominant low-capital constraint and spreads are secondary.

Confidence: Medium to high.

Impact on v1: This supports continued Phase 0 work and later implementation planning, but it does not yet justify assuming that a roughly $50 account can be traded aggressively with attractive net economics.

Additional Architectural Note

AN-001: Coinbase Multiple Portfolios as a Future Isolation Option

Question: Is there a Coinbase-native mechanism that could later help isolate bot-managed funds from manual trading funds?

Conclusion: Coinbase Advanced documents a multiple-portfolios feature that allows separate trading environments and separate API keys per portfolio. This is not required for current v1 planning, but it may later become valuable for isolating bot-managed funds from manually managed funds if the target account supports it.

Source: Multiple portfolios

Confidence: Medium.

Impact on v1: No immediate Phase 0 scope change. However, this may become a strong recommendation later if mixed human/bot account activity remains a concern.

Unresolved assumptions: Need confirmation that the intended Coinbase account type supports this feature and that it fits the approved product scope.

AN-002: What does the actual production account show for portfolios?

Question: Does the actual production account currently use multiple Coinbase portfolios?

Conclusion: The production account currently exposes a single portfolio with:

- `name = Default`
- `type = DEFAULT`
- `deleted = false`

There is no current evidence from the production account that multiple portfolios are already configured.

Source: Authenticated read-only response from `/api/v3/brokerage/portfolios` on 2026-04-12 using the actual production-account key.

Confidence: High.

Impact on v1: If later phases want account-level separation between manual and bot-managed activity, that would require an explicit future portfolio strategy rather than relying on an already-isolated setup.

Unresolved assumptions: Need future confirmation of whether additional portfolios can be created or should be recommended for this account.

Provisional Phase 0 Recommendation

PR-001: Current Recommendation

Question: Based on current Phase 0 research, what is the most defensible provisional recommendation?

Conclusion: `Proceed with narrower scope.` The current evidence supports continuing the project, but only under a disciplined initial operating model:

- Coinbase Advanced Trade API as the sole v1 trading surface,
- spot only, trade only,
- USD and USDC as the only approved quote currencies,
- a small initial asset set biased toward liquid majors,
- low-turnover selective trading rather than high-frequency behavior,
- strong skepticism toward taker-heavy execution at low volume,
- `no trade` as a normal and expected outcome when no setup passes screening.

Source: Synthesized from current findings F-001 through F-014, SF-001 through SF-003, AH-001 through AH-003, VM-001 through VM-004, and AN-001.

Confidence: High.

Impact on v1: The project should continue, but the early live-trading ambition should be narrowed toward liquid, low-friction, low-turnover opportunities instead of broad aggressive coverage. The current evidence supports proceeding with discipline, not proceeding with speed-at-all-costs assumptions.

Unresolved assumptions: The main remaining question is strategic and economic judgment, not missing technical visibility.

PR-002: Why Not “Proceed As Planned” Yet?

Conclusion: The current research does not justify a full “proceed as planned” recommendation because the product still lacks evidence on:

- actual pair-level spread quality under live inspection,
- practical screening results for candidate versus rejected assets.

PR-003: What Would Move the Recommendation?

Conclusion:

- `Proceed as planned` would require a business decision that the currently observed fee economics are acceptable for a very narrow major-asset v1.
- `Proceed with higher required capital` would become appropriate if production-account fee conditions show approximately $50 is too fragile even on tight-spread major pairs.
- `Stop` would only become likely if authenticated screening shows the approved v1 constraints are structurally incompatible with meaningful Coinbase spot trading.

PR-004: Decision Matrix

Decision Option	Current Support Level	Reason
Proceed as planned	Weak	Current production-account fees are too unfavorable to justify a broad or aggressive interpretation of the original ambition.
Proceed with narrower scope	Strong	This is the best-supported option under current evidence: liquid majors, USD/USDC only, low turnover, and no forced trades.
Proceed with higher required capital	Moderate	This becomes stronger if the project goal remains aggressive growth despite the current Intro 1 fee burden.
Stop	Weak	Technical viability is now well supported, so a full stop is not justified by current evidence.

Remaining Open Research Items

RA-001: Remaining High-Value Research Items

- Confirm whether the intended account supports multiple portfolios and whether that matters for later isolation strategy.
- Finalize approved and rejected asset lists with real pair-level evidence.

RA-002: Why Authenticated Read-Only Access Matters

Conclusion: Coinbase developer docs explicitly list `view`-permission endpoints for products, best bid/ask, product books, market trades, accounts, and transaction summaries. Those endpoints are the most direct way to resolve the remaining Phase 0 uncertainty with real account and product data rather than schema-level evidence alone.

Source: Advanced Trade API Endpoints and Get Transaction Summary

Confidence: High.

Impact on v1: Phase 0 now has authenticated research capability on both the temporary and production accounts. Remaining work is refinement, not core access enablement.

Fee Tier Upgrade Research

FU-001: How does a Coinbase Advanced account become a “higher volume” account?

Question: What does it mean on Coinbase Advanced for an account to move into a better fee state, and is there a manual “upgrade” process?

Conclusion: The normal path is automatic volume-based tiering. Coinbase states that Advanced fee tiers update hourly based on trailing trading volume. In addition, Coinbase offers a VIP program for eligible traders outside the UK, where level is determined by trailing 30-day trading volume or asset balance and benefits include discounted trading fees. Coinbase also documents a limited status-match / fee-upgrade path for certain traders coming from other exchanges.

Source: Coinbase Advanced fees, Coinbase Advanced VIP, and Coinbase Advanced fee upgrade incentive.

Confidence: High.

Impact on v1: For most users, “upgrade the account” does not mean filing a normal support request to unlock lower fees. It means increasing eligible trading volume over time, meeting VIP criteria where available, or qualifying for a status-match style incentive if applicable.

Unresolved assumptions: Need production-account region and eligibility context to know whether VIP or status match would apply.

FU-002: Comparison Matrix

Scenario	How Fees Change	What We Know	Impact on VectorQuay
Low-volume research account	Current live tier on the temporary account is `Intro 1` with `1.2%` `taker` and	Verified directly from authenticated `/transaction_summary`.	Very unfavorable for high-turnover or taker-heavy small-account trading.

Scenario	How Fees Change	What We Know	Impact on VectorQuay
	`0.6% maker`.		
Higher normal trading volume	Fee tiers update hourly based on trailing 30-day volume.	Official Coinbase policy confirms automatic tier updates, but the full public tier table is not fully exposed in the source set currently used here.	Better volume should improve economics, but exact production-tier benefit still needs direct production-account inspection.
VIP-eligible trader	VIP levels are based on trailing 30-day volume or asset balance and include discounted fees.	Official Coinbase help documents the VIP program and automatic enrollment for eligible traders outside the UK.	Could materially improve feasibility, but likely not relevant to the current $50 operating model.
Status-match / fee-upgrade incentive	Temporary upgraded pricing may be available if Coinbase approves proof of significant outside-exchange volume.	Coinbase documents a fee-upgrade incentive requiring proof of at least $500K 30-day spot volume on an eligible third-party exchange.	Not relevant for a typical small retail account unless there is substantial outside trading history.

FU-003: Practical Steps on Coinbase

Question: What steps would be required on Coinbase to move toward a better fee state?

Conclusion: The normal Coinbase path is mostly automatic rather than a manual “upgrade” workflow:

1. Use Coinbase Advanced, not simple retail flow, for fee-tiered trading.
2. Trade enough eligible volume that the trailing 30-day volume moves into better hourly-updated tiers.
3. Check the Coinbase Advanced fees page while signed in to see the current tier and requirements to reach the next level.
4. If eligible and outside the UK, review the Coinbase Advanced VIP page for automatic enrollment conditions.
5. If there is substantial trading history on another exchange, review the Coinbase fee-upgrade incentive / VIP status-match path and submit proof if appropriate.

Source: Coinbase Advanced fees, Coinbase Advanced VIP, and Coinbase Advanced fee upgrade incentive.

Confidence: High.

Impact on v1: For the likely VectorQuay use case, the realistic path is not “manually upgrading” the account but either accepting the current retail-volume economics or materially increasing trading volume/capital over time.

Unresolved assumptions: Need the actual production account’s signed-in fee page or transaction-summary response for the final account-specific recommendation.

VectorQuay Phase 0 Findings • In progress • Author/Owner: Brad Malia